

Special Investigations Unit — Fraud Indicators Guide

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Audience: Claims adjusters and adjudication support staff

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1. Purpose

This guide lists indicators that should prompt a referral to the Special Investigations Unit (SIU) for further review before a claim is adjudicated. An indicator on this list is a reason to investigate further, not a basis to deny a claim outright — most claims with one or two indicators turn out to be legitimate.

2. Referral Indicators

2.1 Timing Indicators

- The loss occurred shortly after the policy's inception, a coverage increase, or an endorsement was added.
- The claim is reported significantly later than the date of loss without a documented reason (e.g., the insured was traveling or hospitalized).
- Multiple claims from the same policy or household within a short period.

2.2 Documentation Indicators

- The claim narrative is inconsistent with the police report or repair estimate.
- The insured is unable or unwilling to provide requested documentation (photos, receipts, witness contacts).
- The repair estimate is from a shop with no prior relationship to the insured and is significantly higher than comparable estimates.

2.3 Financial Indicators

- The insured has a history of financial distress that is independently reported (e.g., recent bankruptcy filing disclosed voluntarily or discovered through routine verification).

- The estimated damage is close to, but just under, the policy limit or a review threshold.

2.4 Behavioral Indicators

- The insured pressures the adjuster for an unusually fast settlement.
- The insured has had multiple prior claims across different insurers within a short window, where that history is known.

3. What SIU Referral Does Not Do

An SIU referral does not pause the claim-acknowledgment timeline described in the Ohio Regulatory Reference and the Policy Wording. The insured must still receive timely acknowledgment; SIU referral affects the pace and depth of investigation before a coverage decision is communicated, not whether the insurer initially responds to the claim.

4. Escalation Path

A claim with two or more indicators from Section 2, or any single indicator involving apparent document falsification, is referred to SIU before any adjudication recommendation is drafted. The referral, its basis, and its outcome are retained in the claim record alongside the documentation described in the Claims Adjudication Guidelines, Section 4.

5. Relationship to the Adjudication Sequence

SIU referral sits alongside — not instead of — the standard five-step adjudication sequence described in the Claims Adjudication Guidelines. A referred claim still proceeds through policy-version matching, coverage evaluation, and exclusion detection; SIU findings are an additional input to Step 5 (drafting the recommendation), not a replacement for the deterministic payout computation in Step 4.

6. Investigative Techniques Available to SIU

Once a claim is referred, SIU may use any of the investigative tools described in Policy Wording Section 12: an examination under oath, a recorded statement beyond the routine intake narrative, an independent medical examination where a bodily injury claim is involved, or a vehicle inspection beyond the standard pre-repair inspection. These tools are available to any adjuster under the policy's general claims-handling terms; SIU referral means they are being used specifically to test a fraud indicator, not that they become available only upon referral.

7. Outcomes of an SIU Referral

An SIU referral concludes in one of three ways: the indicators are resolved with no further action and the claim returns to standard adjudication; additional documentation requirements are imposed on the claim before adjudication proceeds; or the claim is denied on a specific, cited basis (a policy exclusion, a material misrepresentation, or a proven fraudulent claim under Policy Wording Section 7.4/7.7's concealment-or-fraud provision) — never denied merely because a referral occurred, without a specific finding.

8. Indicators That Are Not, By Themselves, Sufficient

A claim occurring shortly after a coverage increase, on its own, is common and often entirely legitimate (a policyholder who just added Comprehensive coverage before a first snowstorm, for example). No single indicator in Section 2 is sufficient by itself to deny a claim or to treat a policyholder as presumptively dishonest; this guide exists to flag patterns worth a closer look, not to create a checklist for automatic denial.